



DEALER BEST PRACTICE SERIES

Contract Language

Maintenance and Repair Application Component Life Management Component Rebuild MARC Management

Contract Language0

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1.0 Introduction

Mining MARC contracts represent legally binding agreements between customers and dealers, however many customers remain unaware of (or consciously disregard) their obligations under these contracts. This negligence places pressure on the financial health of mining MARC contracts, resulting in reduced dealer profitability and potential risk to Caterpillar when supporting poor dealer margins through CGM Risk Partnering (or “MARC Hardship” processes).

Mining MARCs represent significant Parts and Service business to Cat and dealers that is effectively protected against competitive threat. Conversely, MARCs also represent a significant risk to dealers through reduced dealer profitability. A sizeable proportion of contract cost over-runs (estimated at 20%) are caused by customers not fulfilling their obligations (as stated or implied) in the contract. These unfulfilled obligations can result from a customer not completely understanding their contractual obligations or their unwillingness (or inability) to fulfill them.

Up until now, CGM has used informal contract language guidelines. With increased mining MARC business, there is a strong need to develop and deploy a formal set of recommended clauses/ language to ensure customers fulfill their contract obligations and do not adversely affect dealer profitability.

This Best Practice contains the top ten clauses to be negotiated into contracts between dealers and customers. If a contract clause is removed, dealers will be in a position to explain the commercial reason for the removal, which satisfies the contract due diligence process. This Best Practice supports CGM Critical Success Factors 4, “Deploy globally consistent product support processes” and 8, “Profitably expand our mining value proposition”.

2.0 Best Practice Description

The objective for this Contract Language Best Practice is to outline those items in Dealer/ Customer MARCs that should be managed by each party. Contract language/ verbiage used in contract documentation must be sufficient to ensure these obligations are upheld. A set of suggested contract language templates have been developed with the intention of closing loopholes that allow customers to accidentally or willingly disregard (or poorly manage) their contractual obligations.

Proper contract language will ensure that changes in machine application throughout the life of the contract are understood with regard to potential cost increases. Improved contract language will also ensure our dealers and Caterpillar are not exposed to liabilities for which they are not or should not be held responsible.

2.1 Application Changes

The rates shown in **Schedule A.1.b** are provided based on machines operating on the mine design as understood at date here, and especially within the following limits.

- Model
- Maximum Grade: (i.e. 8%)
- Maximum Average Fuel Burn: (i.e. 125 liters per hour)
- Maximum One Way Haul Distance: (i.e. 5km)
- Primary Application: Haulage of ore and waste to crusher, stock piles and dumps
- If any of the maximum limits are exceeded for more than 2 consecutive months, the rates shown in **Schedule A. 1.b** no longer valid and are subject to adjustment as required to reflect a more extreme / less extreme application

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2.2 Availability

Dealer guarantees the minimum mechanical availability of the Fleet of Number new Caterpillar Model trucks at the Customer Mine. The reasons for downtime will be tracked and reconciled on a monthly basis at the site level. The availability formula shall be calculated monthly and reconciled at the end of each calendar year.

The formula for calculation shall be

$$\text{Availability} = \frac{(\text{Total Time}) - (\text{Downtime}) + (\text{Adjustments})}{(\text{Total Time})}$$

In the event the fleet average per year falls below the yearly guarantee <Dealer name here> will pay \$XX.00 per deficit hour as a Parts Credit. In the event the Fleet Average exceeds the guarantee by 2% then <Customer name here> will allow all bonus hours to be banked and carried forward for the following year. Monthly reporting will be a customer obligation. Mean time to repair, mean time to stops, fleet availability are required on a regular monthly basis.

2.3 Betterment

Settlement

In order to make sure that all parties in the agreement remain free from large or unusual liabilities throughout the life of the agreement, a Betterment calculation will be made at each site every month.

Betterment is simply defined as:

$$\text{Betterment} = (\text{Remaining Life}) - (\text{Customer Pre-Paid})$$

positive = Owed Dealer

negative = Owed Customer

Remaining Life is the value of the unused hours of any component currently installed in a CPH agreement truck. It can be determined by multiplying the remaining life in hours by the current CPH for that component. Further, the remaining life in hours is found by taking the expected life for that component type and location and subtracting the actual life on that component to date. Note that as a component is removed from a CPH agreement truck, that component is removed from the Betterment calculation. The value of remaining life for that component is set to zero, and then replaced by the value of remaining life for the newly installed component.

Customer Pre-Paid is the money customer paid on a CPH basis before the component was replaced under the CPH agreement. There is a separate customer pre-paid value for every component on every truck that was enrolled into the NAOM Component Agreement though they all start at zero. Pre-paid dollars start accumulating after day one in the contract. The value of the customer pre-paid for a particular component is simply the money paid on a CPH basis before that component was removed and replaced by the contract. Taking the hours paid to the contract and multiplying by the CPH for the different adjustment periods before the first removal under contract can determine this.

When the Betterment balance becomes significantly large, it will be reduced by payments made from either Dealer to Customer or vice versa. A balance greater than \$500,000 at customer site A, \$200,000 at customer site B, and \$200,000 at customer site C will trigger these payments.

2.4 Escalation

The variable Equipment Maintenance Rates in Schedule A Item 1 are subject to indexation calculated on 1 January and 1 July in each year or as parts price increases are implemented by Caterpillar. The

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correction is then applied to subsequent Equipment Maintenance Rates. The Rates are split into the following components:

1) Parts - Imported

The imported parts component is indexed in line with the increase in the total value of the parts list shown as **Schedule B.1.a**

2) Parts and services - Local Supply

Schedule B.1.a Indexation of Parts prices

Calculation of "A" parts price increase factor determined by the indexation of the following basket of parts values, each increased with the Caterpillar US consumer list price at each date of price change.

<Basket of Parts Listed here (Part Number, Description, Part Price Retail)>

Currency Exposure

When customers purchase equipment they require replacement parts and components to perform repairs. Dealers purchase parts from OEM suppliers and re-sell those parts to customers taking into account their cost to deliver this service. In the event a dealer purchases parts in one currency and re-sell in another, the currency exchange rate is considered as a dealer cost and is passed along to the end user customer. This is a standard business operation when a currency discrepancy exists. In the case of a MARC, dealers need a mechanism to pass along the risk involved with currency growth / decline that may occur over the term a dealer is providing a service to the customer.

Currency: The customer-billing rate will increase and decrease based on a "Basis Point" relationship with currency. The relationship between percentage changes and basis points will be summarized as follows: 1% change = 100 basis points and 0.01% = 1 basis point. The customer-billing rate will increase/decrease after a 100-basis point change in currency. The benchmark will be the exchange rate as of <Date here>

2.5 Gain/Loss Sharing

Savings incurred that reduce the combined total targeted running repairs and rebuild costs will be split equally between <Customer name here> and <Dealer name here>. All costs that exceed the combined total targeted running repair and targeted rebuild costs will be split equally between <Customer name here> and <Dealer name here> up to the CAP of \$XX.XX USD. The CAP will be adjusted for inflation by the agreed upon process between <Customer name here> and <Dealer name here> as outlined by contract clause here and/or <Exhibit number here>.

2.6 Inclusions/Exclusions

"Clearly" defined and enforced roles and responsibilities.

Customer's Responsibilities and Obligations:

- Routine Maintenance. <Customer name here> agrees to perform all Routine Preventive Maintenance and follow the operation procedure and the specifications as described in the latest revision of the applicable Operation and Maintenance manuals provided by <Dealer name here> for the <Model #> trucks.
- Bed Repairs. <Customer name here> will provide welding labor and materials for bed repairs.
- Fuel, Grease, Lubes, and Oils. <Customer name here> will provide fuel, grease, and lubricating oils that will meet the specifications published in the latest applicable Caterpillar Operation/Maintenance manual for the serial number range of the trucks in this Contract.

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- Location of Trucks. These trucks will initially be located at the _____ Mine; however, <Customer name here> may utilize the haul trucks in the conduct of its business at either _____ or _____ Mine. The haul trucks identified in this Contract may not be split between mine locations unless the aggregate number of all <Model #> model Caterpillar trucks at such location is _____ or greater. If, at any time, the aggregate number of <Model #> model trucks falls below _____ at the designated mine location, or if these haul trucks are transferred to another <Customer name here> property, the SMU rate included in this Contract is subject to renegotiation. If these trucks are transferred outside <Dealer name here> service territory, this Contract will be terminated.
- Miscellaneous Parts, Labor and Supplies. To further define and clarify <Customer name here> responsibility under this Contract, <Customer name here> is responsible for parts and labor, operating supplies, and some parts (described below), but not limited to, the following list:
 - o Bed repairs (except for hinge pin brackets on Caterpillar beds)
 - o Coolant and conditioner
 - o Engine, hydraulic, and transmission fluids
 - o Fire suppression system and labor
 - o Glass, mirrors, and operator seat
 - o Grease, grease fittings, and grease lines
 - o Lights, light bulbs, and turn lights
 - o Lubrication fluids and coolant associated with all component removal and installation
 - o Radios and antennas
 - o Steps, handrails, ladders, sheet metal, and rock knockers
 - o Tires, tire hardware, and tire maintenance
 - o Wiper blades
 - o Welding – routine frame repairs
- Facilities, Cranes and Storage. To implement this Contract, <Customer name here> will provide <Dealer name here> a facility of adequate size with overhead crane capacity or equivalent mobile crane capacity for the equipment under this Contract. <Customer name here> agrees to make storage available for those tools and parts <Dealer name here> needs to fulfill this Contract, plus office space for <Dealer name here>'s on-site contract supervisor and lead man.
- Supplemental Labor. <Customer name here> may furnish helpers to <Dealer name here> , when requested and available. In such event, <Customer name here> is entitled to charge <Dealer name here> the rate of \$_____ per hour, the rate being adjusted for inflation using the process outlined in subsection 7.3 of paragraph 7.
- Disabled Trucks. If the trucks are disabled in the pit or on a haul road, it will be the responsibility of <Customer name here> to provide and place appropriate safety barriers and warning signs prior to removal there from. The <Customer name here> will be responsible to move a disabled machine out of the operations area and to the shop for repairs. <Dealer name here> will provide technical and mechanical assistance as necessary.

2.7 Inspections

The Dealer shall assist and fully co-operate with the Customers Representative to conduct fair and reasonable periodic audits of the Works and of compliance with the Contract.

The Dealer shall develop and implement corrective actions for all non-compliances identified by the audits in accordance with a time scale to be mutually agreed.

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The customer shall provide the dealers' representative and/or its nominee access to the Site and the customer establishment, records and data and the opportunity to inspect the work being carried out by the Contractor. The Principal's Representative may issue directions in respect of any work which in its opinion is being carried out or has been carried out incorrectly or in an unsafe manner, or in respect of any work or part that is defective. Such direction so given by the Principal's Representative shall be evidenced or substantiated by supporting information or documentation that clearly illustrates why the current practice is undesirable.

2.8 Payload Compliance

Payload Compliance

- **VIMS Payload Monitoring System.** Each haul truck will have a VIMS payload monitoring system along with gear restricting software. <Dealer name here> will maintain the VIMS system and gear restricting software and will ensure that the system and the software are accurate, reliable and operational. In the event <Dealer name here> cannot maintain the accuracy of the VIMS payload monitoring system and gear restricting software, <Dealer name here> and <Customer name here> will mutually agree upon action to correct the inaccuracies or software failures. If the VIMS payload monitoring system and gear restricting software fail or are inaccurate, unreliable or un-repairable for a time period of greater than six consecutive months, then the obligations of <Customer name here> concerning Caterpillar's overload policy shall have no force or effect during that time period.
- **Payload Overload Policy.** Attached hereto as <Exhibit Here> is Caterpillar's "10/10/20 Policy" developed by Caterpillar to minimize overloads and potential truck damage. The parties agree to manage the payloads on the haul trucks to be consistent with Caterpillar's 10/10/20 Policy by reviewing each truck's VIMS payload monitoring system data monthly and taking corrective action, if necessary, to keep the payloads within the stated Policy parameters.
- **Payload Target Modifications.** <Dealer name here> has defined an initial payload target for the haul trucks of _____ tons. This payload target is based on truck and body configuration at time of truck commissioning. The payload target may increase or decrease if modifications are made to a haul truck or if an alternate bed is installed at a later date. In the event of a truck modification, a new payload target may be determined by subtracting any weight added to the truck's original GVW from the former target payload. In the event an alternate bed is installed, subtracting the weight of the new bed from _____ lbs and adding the result to the former payload will determine a new target payload.
- **Not to Exceed Target.** <Customer name here> agrees to manage the mean payload to not exceed the target payload – calculated for each monthly review and for life-to-date—except as otherwise set out in <Exhibit Here>.
- **Payload Distribution Curve.** <Customer name here> agrees to manage a payload distribution to have no more than 10% of the payloads exceeding 1.1 times the target payload (<XXX Tons>) for each monthly review and for life-to-date of each truck. At the end of this Contract, for every payload that exceeded 1.1 times the targeted payload more than 10% of total payloads, <Customer name here> will pay a \$_____ per payload charge. As per <Exhibit Here>, annual reconciliation will be implemented to reduce effect of payload banking.
- **Payload Distribution.** The Caterpillar chassis and bed are designed as a unit. This design is engineered to accomplish axle weight splits of 33% to the front and 67% to the rear. <Customer name here> agrees to make all reasonable attempts to achieve these axle targets by balancing the load. In the event imbalanced loading results in confirmed damage to truck components, <Dealer

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<name here> reserves the right to negotiate with <Customer name here> a fair restitution for such damage.

- Event Target Payload Exceeds, <Customer name here> agrees to dump all loads exceeding 1.2 times the target payload within a ½ mile-working radius of the loading area.
- Scale Studies. Scale studies will be performed semi-annually beginning as of the date on which the <name here> truck fleet has been commissioned and accepted to ascertain and ensure the accuracy of the VIMS payload monitoring system and gear restricting software. <Dealer name here> will assume responsibility for scheduling the first scale study and the cost thereof. <Customer name here> will be responsible for the cost and schedule of the second scale study. Thereafter, the responsibility for scheduling a scale study and the cost thereof will alternate between the two parties.

2.9 Performance Reviews: Contract:

The Customer and the Dealer shall meet at quarterly intervals to:

- Review the performance of the Equipment during the period
- Review the Dealer's Maintenance performance during the period, as determined by the Key Performance Indicators agreed to by the Customer and the Dealer
- Review the Dealer's management performance for the period, as measured by compliance with the Management Plans as otherwise agreed to between the Customer and the Dealer,
- Review Labor levels.
- Assess the operation of the Dealer and ensure its smooth operation.
- Identify and develop improvement opportunities.
- In recognition of the desire of the Customer and the Dealer to continually improve the performance and costs of the Equipment, and the operation of the Contract, other items relevant to this objective may from time to time be included in the review.

The exact timing of Contract Review Group meetings shall be agreed between the Customer and the Dealer or as otherwise directed by the Customer's Representative.

2.10 Reporting Requirements

The Contractor shall provide to the Principal a report each month containing the following sections:

- Safety: This section of the report shall contain a list of all incidents occurring during the week and any other safety issues arising;
- Environment: This section of the report shall contain all environmental incidents occurring during the week and any other environmental issues arising;
- Repair and Maintenance of Equipment: This section of the report shall contain details of all repair and maintenance activities associated with the Equipment; and
- Issues Arising: A list of all issues arising including any matters requiring direction from the Principal shall be included in this section of the report.

This report shall be completed by the Contractor and made available to the Principal by 0900 hours on the day of the week to be agreed between the Principal and the Contractor.

3.0 Implementation Steps

The attachment provided has examples of the clauses implemented into an actual dealer contract.

Application – Page 2 of 10 Section 7.3 Subsection (b)

Availability – Page 6 of 10, Exhibit B

Betterment – Page 3 or 10 Section 10 & Exhibit C

Escalation – Page 2 of 10 Section 7.1, Section 7.2, Section 7.3

Gain / Loss Share – Page

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Inclusion & Exclusions – Page 5 of 10 Section 13, Section 14
 Inspections – Page 7 of 10 Sections 14.8
 Payload Compliance – Page 3 or 10 Section 11, Exhibit E, Exhibit G, Exhibit H
 Performance Reviews – Page 3 or 10 Section 8 /
 Reporting Requirements – Page 5 of 10 Section 12.4, Exhibit A

4.0 Benefits

Reduce the risk of mining MARC contract cost over-runs due to customers not fulfilling their obligations or changing machine application without suitable contract rate adjustments.

Contract Language changes to:

- Clearly define the customer's responsibilities under the MARC contract.
- Define the potential for contract rate rises if machine application moves outside agreed-to/ acceptable operating criteria.
- Ensure timely resolution of contract/ contractual disputes.
- Ensure fair reconciliation of contracts in the event of Termination, Extension, etc.
- Ensure the responsibilities of the Cat Dealer are clearly defined

5.0 Resources Required

The resources required to exercise this Best Practice is the desire to change the dealer's existing contract structure and contract negotiation process. This Contract Language Best Practice can effectively change the operating relationship dealers have with customers. In some cases, there may be a higher degree of strain introduced when dealers attempt to enforce these contract clauses. Historically, customers may have become accustomed to ignoring their obligations that they now have a contractual obligation to honor.

6.0 Supporting Attachments / References

- *Contract Language - Example_v2.doc* Sample contract utilizing these top 10 clauses

7.0 Related Best Practices

None.

8.0 Acknowledgements

Jim Davey – APD Regional MARC Consultant, performed the bulk of the research and development on this Best Practice.

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